

The current situation with respect to bonds selling at speculative levels (in 1939) is indicated by the fact that the average price of all U. S. corporate bonds listed on the New York Stock Exchange at the end of 1939 was 74.60, a level suggesting that many issues were selling at very large discounts below par. The complete price record of all corporate bonds and certificates of deposit therefor that were actually traded on the New York stock Exchange during 1939 reveals that 558, or 57%, of a total of 1,100 issues sold at prices below 70 at some time during the year. A preponderant number of the low-priced issues were those of railroads. See *Commercial and Financial Chronicle*, pp. 56–64, Jan. 6, 1940.

NOTE 43

SUBSEQUENT HISTORY OF BONDS IN THE TABLE

American Seating 6s, due 1936, were extended for ten years and sold as high as 104 in 1939.

Crucible Steel 5s, due 1940, rose to a price of 104¹/₂ in 1937 and were called for payment at 101 in September 1938.

McKesson & Robbins 5¹/₂s, due 1950, proved to be a profitable purchase at 25; but after selling above par in 1935–1938 they slumped to a price of 50 in late 1938 and early 1939 on news of fraudulent conduct by the management. Interest payment was deferred in May 1939, but by April 1940 the bonds had recovered to a price of 101.

Marion Steam Shovel 6s, due 1947, have exhibited the poorest record of the list. However, the bonds gradually gained to a price level of par in 1936–1937 and sold as high as 87 in 1939.

Some holders of the National Acme 6s, due 1942, extended the maturity of their bonds in 1936 to 1946 and consented to a reduction of the coupon rate to 4¹/₂%. These bonds have consistently sold close to par since 1936. The unextended bonds were called at 102¹/₂ in December 1936.